

Settlements has been issuing warnings for a number of years about excessive asset prices and credit growth, while the IMF has been warning against high house prices and excessively benign financial conditions. I spoke to central bankers in August 2005, at Greenspan's farewell Jackson Hole conference, about the increasing risks in the financial system. A number of people were worried, but regulators were convinced that markets would take care of themselves. For instance, a \$64-trillion credit default swap (CDS) market has grown with very little supervision. And now the authorities are bailing out firms like AIG simply because they fear AIG is too central a player in the CDS market to be allowed to fail.

IS THE BAILOUT A SOLUTION? The real concern about the financial sector is that it is undercapitalised, because of the losses it has sustained and the growing risk-aversion of lenders. To avoid the coming credit contraction, levered financial institutions need more capital to continue lending. The Treasury plan attempts to recapitalise financial institutions in three indirect ways. First, by paying above the market value for illiquid mortgage-backed assets, the Treasury hopes to indirectly recapitalise institutions. Second, by creating a market for illiquid assets and allowing prices to be established, it hopes that other private players will enter the market, "liquefying" the market. Third, the Treasury also probably hopes that once the illiquid assets are off the balance sheets, institutions can raise capital and will become more willing to lend.

These are sound intentions, but possibly inconsistent. If the Government overpays, it is not going to help the market discover the true price that traders, who don't have the government's long horizons, are willing to pay. Moreover, it is not clear how that hypothetical price will be established through competitive auctions. Finally, of course, taxpayers bear the cost of the government overpaying (though they get the benefit of a sounder economy). Ultimately, though, the US authorities will have to focus on recapitalising the bank-

ing sector. In addition to asset purchases, a quick audit of the large financial institutions, speedy closure of those that are beyond revival and a recapitalisation plan, perhaps including government money, for those that can survive, are all elements of what needs to be done. This has all been done before by other countries, typically emerging markets. It is now time for the US to learn lessons from them.

HOW DOES THIS IMPACT THE GLOBAL ECONOMY? The US is between a quarter and a third of the world economy. Its demand is even more important because the US routinely spends more than it produces (that is, it runs a large trade deficit). If US demand shrinks, global demand will be hit. Obviously if a quarter or a third of the global economy tanks then there are bound to be some tremors, if not a quake. Another source of spillover is that foreign financial institutions, largely in Europe, hold substantial quantities of toxic US securities. As those losses come to light, European financial institutions are getting into trouble. Finally, of course, confidence the world over has been eroded, and that has effects too. Growth requires restoration of trust.

WHAT ARE THE LESSONS FOR INDIA? We need to be careful about excessively low interest rates and excessive credit growth, something the RBI has correctly been concerned about, and the Fed has not paid enough attention to. We have to worry about the stability consequences of interest rate policy. This does not mean forgetting about inflation, but using prudential tools to control the quality and growth of credit. Second, we have to worry about incentive structures in the financial system. A critical problem in the US was that bonus systems gave executives an incentive to take on risks that had a low probability of materialising (such as bond defaults) but were very costly when they materialised. We should not pay bonuses based on short-term performance, but provide longer-term performance incentives.

Finally, even the best regulatory system will make mistakes. We will have financial disasters. If you are the fire department in a town you don't keep writing more fire code to prevent fires, but you instal more sprinkles and buy more fire engines. We need to make sure our systems are resilient enough. If, for instance, such a disaster were to happen in India, is the government in a position to act fast to restore confidence? Does the budget, burdened as it is with subsidies, and the public debt, have the room to absorb a rescue package? Do the authorities have the capacity to take over a failing bank overnight and reopen it the next day?

Do we have enough private sector entities capable of stepping in, say if a large bank is burdened with losses? We need to assess how we can make new funds flow into the system. For instance, all the asset reconstruction companies are owned by domestic financial institutions. Will they have the capital to buy bad loans from banks if disaster strikes? Would it not make more sense to allow foreign ownership so that foreign capital can flow in when our own institutions are damaged? The time to act is now, when the Indian system is still relatively sound. The best time to put in place the instruments to deal with a crisis is not when we are in its midst.

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